

Axion — Governance, Board and Committees

Document 4, pages 11 and 12 | APC 2026 September Qualifying Exam | Axion Digital Infrastructure (Pty) Ltd

Scope. The ownership and governance extract in Document 4, pages 11 and 12. Each trigger is set out as **factor** → **risk** → **standard and section** → **application to Axion** → **what to do or ask**.

Know which source binds and which guides. The **Companies Act and Regulations** are law and must be complied with. **King V** is applied on an **apply and explain** basis, and Document 4 says only that Axion has adopted practices “**informed by**” King V. The **SAICA Code** binds a **registered member** in full; for a director who is not a CA(SA), apply King V first and supplement with the fundamental principles.

King V. Issued on 31 October 2025 and replaces King IV. **13 principles** consolidated from King IV’s 17, **apply and explain**, effective for **financial years beginning on or after 1 January 2026**. References below are by subject matter; **check the principle and practice numbers against the King V Code before quoting them**.

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A. Axion's status — what law actually applies

Axion is a private company. Several provisions that apply to public companies do not apply to it, while the public interest score brings others into play.

Test	The rule	Axion	Consequence
Company type	A private company is one whose MOI prohibits it offering securities to the public and restricts the transferability of its shares.	Axion Digital Infrastructure (Pty) Ltd. Document 4 states "Axion remains privately held" and is "not currently listed".	Provisions limited to public and state-owned companies do not apply automatically — most importantly s94 audit committees.
Public interest score Reg 26(2)	- Calculated at each financial year end as the sum of: - the average number of employees during the year; one point for every R1 million (or part) of third-party liability at year end; one point for every R1 million (or part) of turnover during the year; and one point for every individual with a direct or indirect beneficial interest in the issued securities.	- On the FY2026 figures elsewhere in the pre-release: roughly 300 employees, R6 850m of liabilities, R2 620m of revenue, plus the shareholders. Indicative PIS: well above 9 000. The exact figure needs third-party liability rather than total liabilities.	Every PIS threshold in the Regulations is comfortably exceeded.
Audit Reg 28	- A private company must be audited if its public interest score is 350 or more. - Also if it holds assets in a fiduciary capacity above R5 million, or if the score is 100 to 349 and the statements were internally compiled.	- PIS far exceeds 350. KZL Inc is named as external auditor in Document 2.	The audit is compulsory, not voluntary. Auditor independence is therefore a statutory matter, not a choice.
Social and ethics committee s72 and Reg 43	- Required for every state-owned company, every listed public company, and any other company with a public interest score above 500 in any two of the previous five years. - Reg 43(4): the committee must comprise not less than three directors or prescribed officers, at least one of whom must be a director who is not involved in day-to-day management and has not been so involved within the previous three financial years.	- PIS is far above 500, and Axion has grown steadily, so the two-in-five-years test is met. - Axion has a Social, Ethics & Sustainable Committee chaired by Dr September.	This committee is a statutory requirement, not a King V choice. Test its composition against Reg 43(4) and its functions against Reg 43(5).
Audit committee s94	- A public company or state-owned company must appoint an audit committee. - Any other company must do so only if its MOI requires it. - s94(4) sets independence requirements for members of a statutory audit committee.	- Axion is a private company, so s94 does not apply of its own force. - Its Audit & Risk Committee is therefore a King V and board-driven committee unless the MOI or the shareholders' agreement requires one.	s94 should not be applied to Axion without first checking the MOI. If s94 does not apply, the s94(4) independence tests are persuasive but not binding.
King V	Issued 31 October 2025, replacing King IV. 13	Document 4 says the board has adopted practices	Treat King V as principles and

Test	The rule	Axion	Consequence
	principles, consolidated from King IV's 17. • Apply and explain: the principles are applied, and the practices adopted to give effect to them are explained. • Effective for financial years beginning on or after 1 January 2026, early adoption encouraged.	"informed by" King V — not that Axion applies King V in full. • Axion's year ends 30 June, so its first financial year beginning on or after 1 January 2026 is FY2027 (1 July 2026 to 30 June 2027).	recommended practices, not rules. A departure is not a breach; it is something to be explained. • The King V disclosure obligation reaches Axion in FY2027, which is a concrete readiness point.
SAICA Code	• Binds a registered member or associate of SAICA in full. • For a person in a governance role who is not a member, apply King V first and supplement with the fundamental principles, especially objectivity, integrity and confidentiality.	• Sarah Naidoo is described as CA(SA) — the Code applies to her in full, as a professional accountant in business (Part 2). • The other directors are not described as CA(SA). • You are a CA(SA), so the Code applies to you.	• Do not apply the Code to a director who is not a member. Apply King V, and use the fundamental principles as supporting standards of conduct.

B. The facts in Document 4, at a glance

Director	Position as stated	Independence on the face of Document 4	Committee roles
Dr Lindiwe September	Independent non-executive Chair	• Stated independent.	• Chairs Social, Ethics & Sustainable. • Chairs Remuneration & Nomination. • Chairs the board.
Kabelo Moleke	Founder & CEO	• Executive. Also an 18% shareholder.	• None stated.
Sarah Naidoo CA(SA)	CFO	• Executive. A CA(SA) — the SAICA Code applies.	• None stated.
David Low	Founder & non-executive director	• Not independent — a founder and 7% shareholder.	• None stated.
Thandi Mthanda	Independent non-executive director	• Stated independent. Former audit partner and CFO — of which firm, and how long ago?	• Chairs Audit & Risk.
Michael van de Wyk	Non-executive director	• Not independent — investment director of Ubuntu, the 35% shareholder.	• Chairs the Investment Committee.
Aisha Kahn	Non-executive director	• Not independent — partner of Horizon, the 30% shareholder.	• None stated.

- The board comprises **seven directors: two executive directors and five non-executive directors, of whom two are described as independent**. Document 4 states that there is "a balance of executive, non-executive and independent directors"; this statement should be assessed against the actual composition.
- **Ubuntu and Horizon together hold 65%** and both have board representation through the shareholders' agreement. **The founders hold a further 25%** and both sit on the board.
- Document 4 names **no lead independent director**, states **no committee membership** beyond the chairs, and gives **no board or committee size**.

C. Board composition and independence

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
The claim of balance	- Document 4 asserts “a balance of executive, non-executive and independent directors”. - On the face of it only two of seven are independent. - Risk that the information memorandum overstates the governance position to a prospective investor.	King V — composition of the governing body: an appropriate balance of knowledge, skills, experience, diversity and independence. Companies Act s76(3)(a) — a director must act in good faith and for a proper purpose. s29(2) — financial statements or reports must not be false or misleading in a material respect.	2/7 independent, with 65% of the shares represented on the board by two non-independent nominees. - The information memorandum must accurately describe the board's independence because a potential investor may rely on it to assess Axion's governance and decide whether to invest. If the board appears more independent than it is, the investor could be misled.	- The statement that the board is balanced is not fully supported because only two of seven directors are described as independent. Recommend that the wording in the information memorandum be amended or supported by a formal independence assessment before issue.
Independence is a conclusion, not a label	- Directors described as independent may not be independent in substance. - Risk of unchallenged decisions and of a board that cannot exercise objective judgement.	King V — independence is assessed substantively and holistically, considering whether there is an interest, position or relationship that is likely to influence judgement unduly. s94(4) independence tests are persuasive for a private company, not binding.	Van de Wyk — investment director of a 35% shareholder. Kahn — partner of a 30% shareholder. Both are shareholder nominees and neither is independent. Low — founder and 7% shareholder; long association with Axion since 2011. September and Mthanda are the only two described as independent, and Mthanda's status must be tested — see section F.	- Independence should be assessed in substance and not accepted from a director's title alone. Recommend an annual assessment considering length of service, shareholding, previous employment, business relationships and nominee status, with reasons documented.
No lead independent director	- Document 4 names no lead independent director. - Risk that there is no counterweight if the chair is conflicted or unavailable, and no one to lead the chair's own evaluation.	King V — a lead independent director should be appointed where the chair is not independent, is conflicted, or where the role otherwise requires it.	- Axion's chair is described as independent, so a lead independent director is not automatically indicated. - But the chair holds three chairs simultaneously, which raises the question of who leads the board when she is conflicted — for example on her own remuneration or evaluation.	The board should appoint a lead independent director to lead matters where the chair is conflicted, unavailable or being evaluated.
Shareholder concentration on the board	- Two of five non-executives are nominees of shareholders holding 65% between them. - Risk that the board advances shareholder interests rather than the interests of	s76(3)(b) — a director must act in the best interests of the company, not of the shareholder who nominated them. s66(1) — the business and affairs of the company are managed by the board.	- A nominee director owes duties to Axion, not to Ubuntu or Horizon. - The Employee & Empowerment Trust holds 10% and has no board representation named in Document 4.	- The shareholder nominees may reduce objective decision-making and must act in Axion's best interests rather than those of Ubuntu or Horizon. Recommend formal conflict and recusal procedures, controls

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
	the company , and that minority shareholders — including the Employee & Empowerment Trust — are not protected.	King V — stakeholder-inclusive approach; the governing body serves the organisation.		over shareholder information sharing, and consideration of the Trust's interests in major decisions.
Skills against the strategy	Risk that the board lacks the skills for what Axion is about to do — a R3–5bn capital programme, new funding structures and possible African expansion.	King V — the governing body should have the knowledge, skills, experience and capacity required, and should plan its succession and composition.	Stated skills: telecommunications and infrastructure; engineering; finance and corporate finance; technology; audit and risk; investment. No director is described as having sustainability, environmental, cyber or information technology governance expertise, although Document 7 raises sustainability and an AI pilot.	- The board may lack the sustainability, cyber and technology-governance expertise needed for Axion's strategy and AI pilot. Recommend that identified skills gaps be addressed through targeted appointments, director training or independent advisers.

D. Conflicts of interest — Van de Wyk and the Investment Committee

Michael van de Wyk chairs the Investment Committee while serving as investment director of Ubuntu Infrastructure, which holds 35% of Axion.

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
Chairing the committee that decides on investments	- Risk that Ubuntu's investment interests influence Axion's capital allocation. - Risk of co-investment or of Ubuntu taking an opportunity that belongs to Axion. - Risk that the chair controls the agenda, the information and the recommendation to the board.	King V — the governing body should govern conflicts of interest; a member should not participate where conflicted. King V — committee composition and independence, and the delegation of authority. s75 — a director with a personal financial interest in a matter must disclose it and, in general, not take part in the consideration of the matter. s76(2)(a) — a director must not use their position or information to gain an advantage for themselves or another person, or to knowingly cause harm to the company. s76(3) — good faith, proper	Section 75 applies only if Van de Wyk, or a person related to him, has a personal financial interest in the investment decision. - His employment by Ubuntu does not automatically create a personal financial interest. Confirm whether he owns an interest in Ubuntu or receives a benefit linked to Ubuntu's return on Axion. If he has such an interest, he must disclose it and not participate in the decision. If he does not, section 75 may not apply, but he must still comply with section 76 and must not use Axion's information or his position to benefit Ubuntu.	- Chairing the committee that allocates Axion's capital while representing its largest shareholder is a conflict that must be managed, whether or not s75 is engaged. Recommend an independent chair for the Investment Committee, or at minimum recusal and an independent quorum whenever Ubuntu has an interest, supported by terms of reference and a conflicts register.

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
		purpose, best interests of the company, and the degree of care, skill and diligence of a reasonably diligent person with that director's knowledge and experience.		
Both institutional nominees on the board at once	- Risk that Ubuntu and Horizon, holding 65%, align and effectively control board outcomes. - Risk that the R3–5bn funding decision is taken in the interests of the existing shareholders rather than of Axion.	s75 and s76(3) as above, applied to each nominee. King V — conflicts, and the stakeholder-inclusive approach.	- The funding options include investment from existing shareholders and a new strategic investor. Both directly engage the interests of Ubuntu and Horizon — for example dilution, pre-emptive rights and pricing. - On those matters both nominees are conflicted at the same time, leaving only September, Mthanda, and the executives.	- The board may be unable to form an independent quorum on the funding decision, which is the most material decision before it. Recommend an independent committee or independent adviser for the funding review, and a documented fairness assessment of any shareholder-linked transaction.
Confidential information	Risk that Axion information reaches Ubuntu or Horizon and is used for their advantage.	s76(2)(a) — no use of position or information for the advantage of another person. King V — information governance and conflict management. SAICA Code s114 Confidentiality — for any member; and the fundamental principle applies as a standard of conduct to directors generally.	Nominee directors ordinarily report back to the shareholder that appointed them, and that reporting is where s76(2)(a) is most likely to be breached.	- Reporting back to Ubuntu or Horizon is not permitted where it uses Axion's information for their advantage. Recommend a written information-sharing protocol setting out what a nominee may report, and a confidentiality undertaking from each nominee.

E. The chair — capacity and committee roles

Dr Lindiwe September chairs the board, the Social, Ethics & Sustainable Committee and the Remuneration & Nomination Committee.

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
Three chairs held by one person	- Risk of overload — insufficient time to discharge any of the roles properly. - Risk of concentration of influence in a single director. - Risk that the board's oversight of those committees is weakened, because the person reporting to the board is the person chairing it.	King V — the governing body should ensure its members have the capacity to discharge their roles, and should consider other commitments. King V — delegation to committees should not dilute the governing body's own accountability. s76(3)(c) — the degree of care, skill and diligence reasonably expected.	Three chairs is a substantial load for one non-executive, particularly during a R3–5bn capital programme and a strategic funding review. - When the Social and Ethics Committee or the Remuneration Committee reports to the board, the chair of the board is reporting to herself.	- Holding the board chair and two committee chairs concentrates influence in one director and weakens the board's oversight of those committees, because she reports to herself. Recommend that at least one committee chair be reassigned. Axion has only one other independent non-executive, so this may require appointing a further independent director.
Board chair chairing Remuneration & Nomination	- Risk that the chair influences her own remuneration, her own re-election and the nomination of her colleagues. - Risk of a self-review and self-interest conflict in the nomination function.	King V — remuneration governance, and the composition and chairing of committees. King IV recommended practice, which the course materials use, is that the chair of the governing body should not chair the remuneration committee, although the chair may be a member. s66(9) — remuneration of directors for their service as directors requires shareholder approval by special resolution within the previous two years.	- This is a departure from recommended practice. The exact King V practice on who may chair the remuneration committee should be checked. - Nomination is the more sensitive half: the chair chairing nomination means she influences who joins the board she chairs, which is directly relevant when a new investor seeks board representation.	- The board chair chairing Remuneration & Nomination is a departure from recommended practice and creates a self-interest conflict over her own fees, re-election and the nomination of colleagues. Recommend that an independent non-executive other than the board chair chairs this committee; failing that, that she recuses herself from her own remuneration and re-election, and that s66(9) approval is confirmed.
Combining social and ethics with sustainability	Risk that the statutory functions in Reg 43(5) are diluted within a broader sustainability mandate.	Reg 43(5) sets out the statutory functions of the social and ethics committee, including monitoring the company's activities against specified instruments, and drawing matters to the board's attention. Reg 43(5)(c) — the committee must report to the shareholders at the annual general meeting.	Axion's committee is styled "Social, Ethics & Sustainable", which is wider than the statutory mandate. That is permissible, but the statutory functions must still be discharged and evidenced.	- A wider sustainability mandate is permissible, but the statutory Reg 43(5) functions must still be discharged and evidenced. Recommend that the terms of reference be mapped against Reg 43(5) and that the committee's report to shareholders under Reg 43(5)(c) be confirmed.

F. Audit and Risk Committee — Mthanda, KZL Inc and cooling off

Thandi Mthanda is described as an independent non-executive director and a former audit partner and CFO. She chairs the Audit & Risk Committee. KZL Inc is Axion's external auditor (Document 2).

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
Former audit partner — of which firm?	- If Mthanda was a partner of KZL Inc, there is a familiarity and self-review threat to KZL's independence, and her own independence is doubtful. - If she was a partner elsewhere, the concern is much reduced. - Risk that a compulsory audit is performed by a firm that is not independent.	SAICA Code Part 4A — independence for audit and review engagements. Code s540 Long Association, and the sections dealing with a former partner of the firm serving as a director of an audit client, which create self-interest, self-review, familiarity and intimidation threats. King V — independence assessed substantively; a former partner of the external audit firm is an independence indicator. Auditing Profession Act — the registered auditor must be independent.	Document 4 does not name the firm or the date. These are the two facts the whole analysis turns on, and neither is given. - Because the audit is compulsory under Reg 28 and Axion is likely to meet the Code's public interest entity definition, the stricter listed-entity independence requirements are in point. The course materials work exactly this test: a public interest score above 350 means the audit must be conducted in compliance with the same independence requirements that apply to a listed entity. - On that footing a cooling-off period applies before a former partner may join the client's board, and her chairing the Audit & Risk Committee — the committee that oversees the auditor — is the most sensitive seat she could occupy.	- If Mthanda was a partner of KZL Inc and the cooling-off period has not expired, she is not independent and KZL's independence is compromised — the conclusion is that either she should not chair Audit & Risk, or KZL cannot continue as auditor. - If she was a partner elsewhere, she may be independent, but this must be confirmed rather than assumed. Recommend obtaining the firm, the role, the date she left, whether she served on the Axion engagement, and whether she retains any financial interest or pension from the firm.
Former CFO — of which company?	- If she was CFO of Axion, she cannot be independent and would fail the s94(4) tests if they applied. - Risk of self-review over statements she previously prepared.	s94(4)(a) — a member of a statutory audit committee must not be involved in the day-to-day management and must not have been a prescribed officer or full-time employee in the previous three financial years. King V — substantive independence.	- Document 4 does not say of which company she was CFO. Read naturally it is another company, which would not offend independence. s94(4) does not bind Axion as a private company, but it remains the appropriate benchmark against which to test her position.	- If she was CFO of Axion within the previous three financial years she cannot be independent; if of another company, independence is not offended. Recommend confirming which company and over what period before her independence is relied on.
One committee for audit and risk	- Risk that risk oversight is crowded out by the financial reporting and audit agenda. - Risk that a committee chaired by one person covers financial reporting, external audit, internal	King V — risk and compliance governance; assurance and internal control; and the delegation of authority to committees. King V — technology and information governance, which	- Combining the two is common and permissible for a company of Axion's size, and King V is applied and explained rather than complied with. - But Document 7 records an AI-enabled maintenance pilot on which the Audit & Risk Committee has requested assurance, and	- Combining audit and risk is permissible for a company of Axion's size, but the agenda is heavy and risk oversight may be crowded out. Recommend reviewing the terms of reference, membership

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
	audit, internal control and the full risk universe — including the AI pilot, cyber and the capital programme.	includes artificial intelligence .	Document 3 records organisational capacity as a stated constraint. The agenda is heavy.	and meeting frequency, confirming how assurance over the AI pilot is obtained, and considering whether a separate risk committee or an internal audit function is now warranted.

G. The committees — statutory against voluntary

Committee	Source of the requirement	What the standard requires	Axion	APC conclusion / recommendation
Social, Ethics & Sustainable Chair: Dr September	• Statutory. s72 read with Reg 43, because the public interest score exceeds 500.	• Reg 43(4): at least three directors or prescribed officers, at least one a director not involved in day-to-day management and not so involved in the previous three financial years. • Reg 43(5): prescribed monitoring functions, and a report to shareholders at the AGM.	• Exists and is chaired by the independent chair, who satisfies the non-management requirement. • Membership is not disclosed.	• Compulsory and in place, but composition is unverified. • Recommend confirming three or more members, the Reg 43(4) non-management member, and the Reg 43(5) functions.
Audit & Risk Chair: Mthanda	• Not statutory — s94 applies to public and state-owned companies, or where the MOI requires it.	• If voluntary, the board sets the terms of reference. • King V — assurance, internal control and risk governance. • s94(4) independence tests are a useful benchmark even where not binding.	• Exists. Chaired by an independent non-executive whose independence must be confirmed — section F.	• Voluntary unless the MOI requires it — so s94 should not be applied to Axion without checking. • Recommend checking the MOI and shareholders' agreement, and using the s94(4) tests as a benchmark for membership.
Remuneration & Nomination Chair: Dr September	• Not statutory for a private company.	• King V — fair, responsible and transparent remuneration. • s66(9) — directors' fees require a special resolution within the previous two years.	• Chaired by the board chair, which is the recommended-practice departure flagged in section E.	• The chair should not chair this committee — see section E. • Recommend reassigning the chair and confirming s66(9) approval of directors' fees.
Investment Chair: Van de Wyk	• Not statutory. A board committee.	• King V — delegation of authority; conflicts of interest. • s75, s76(2)(a), s76(3).	• Chaired by the nominee of the 35% shareholder — section D.	• Chaired by a conflicted nominee — see section D. • Recommend an independent chair, or recusal with an independent quorum, plus terms of reference and approval limits.
Not mentioned	• No internal audit function is referred to anywhere in Document 4.	• King V — assurance; the governing body should have an effective combined assurance model and should consider the need for an internal audit function.	• For a business of Axion's scale, with a R3–5bn programme and a stated capacity constraint, the absence is notable.	• The absence of internal audit is a gap in the assurance model for a business of this scale. • Recommend establishing or outsourcing internal audit and adopting a combined assurance model, as part of

Committee	Source of the requirement	What the standard requires	Axion	APC conclusion / recommendation
				the MATURE priority.

H. Shareholders' agreement, nomination rights and a new investor

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
Nomination rights	- Risk that the shareholders' agreement conflicts with the MOI or the Act, in which case it is void to that extent. - Risk that nominee directors act as delegates of their appointer.	s15(7) — a shareholders' agreement must be consistent with the Act and the MOI; any inconsistent provision is void. s66(4)(a)(i) — the MOI may provide for the direct appointment of directors by a named person. s66(7) — a person becomes a director only on delivering written consent to serve. s76(3)(b) — best interests of the company.	- Document 4 places the nomination right in the shareholders' agreement, not the MOI. Section 66(4)(a)(i) requires the MOI to provide for direct appointment. If the right is only contractual, it may be unenforceable against the company. Section 15(7) makes the provision void to the extent it is inconsistent with the MOI or the Act. - Under section 76(3)(b), a nominee owes duties to Axion, so the agreement cannot oblige them to follow Ubuntu or Horizon.	- The nomination right may not be validly constituted unless it is also in the MOI, and any instruction to vote in the appointer's interests would be void and a breach of s76(3)(b). Recommend obtaining the MOI and shareholders' agreement, aligning the nomination right in the MOI, and checking that reserved matters do not fetter the board contrary to s66(1).
A new strategic investor	- Risk of dilution of the founders and the Employee & Empowerment Trust. - Risk that a further nominee worsens the independence balance. - Risk that existing shareholders and the new investor have conflicting interests on price.	s39 — pre-emptive rights on an issue of shares by a private company, unless the MOI provides otherwise. s38 — authorisation of shares. s41(1) — shareholder approval for an issue to a director, prescribed officer or related person. s41(3) — special resolution where the issue is 30% or more of the voting power before the issue. King V — composition, and stakeholder-inclusive decision making.	Section 39 gives existing shareholders pre-emptive rights, so a new investor can only be issued shares if those rights are waived or excluded in the MOI. Section 41(1) applies if Ubuntu or Horizon subscribe, because both are related to directors on the board — a special resolution is then required. Section 41(3) applies if the raise is 30% or more of the voting power, which a R3–5bn issue plausibly is. - A further nominee would take the board to three shareholder nominees against two independents.	- A share issue to fund the capital programme will require shareholder approval under s41, and the board cannot proceed on its own authority. Recommend modelling the post-issue shareholding and board composition, confirming whether s39 is excluded in the MOI, and protecting the Trust's 10% against dilution.
The Employee & Empowerment Trust	- Risk that the Trust's governance is not addressed — trustees, voting, and whether executives are trustees. - Risk of a conflict if a director is also a trustee.	s75 — if a director is a trustee with a personal financial interest. King V — stakeholder-inclusive approach; conflicts of interest.	- The Trust holds 10% but appears in no board or committee role in Document 4, and Document 4 does not say who exercises its vote. Section 75 is engaged if any Axion director is also a trustee and has a personal financial interest in a matter before the board.	- The Trust's interests are not visibly represented in Axion's governance, which is a weakness given its 10% holding and employee beneficiaries. Recommend obtaining the trust deed and trustee list, confirming who votes the Trust's shares, and disclosing any director who

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
				is also a trustee.

I. Delegation, and from founder-led to institutionally backed

Factor	Risk	Standard and section	Application to Axion	APC conclusion / recommendation
Delegation to the CEO	- Risk that delegation is not documented, so the boundary between board and management is unclear. - Risk of over-concentration in the founder CEO, who is also an 18% shareholder.	s66(1) — the board manages the business and affairs and may exercise all the powers of the company. King V — delegation to management, the role of the CEO, and the delegation of authority framework. King V — the CEO should not be involved in decisions on their own remuneration.	- Document 4 says the board retains oversight of strategy, material capital investments, risks and executive appointments, with operations delegated to the CEO. Section 66(1) permits delegation but not abdication — the board remains accountable for what it delegates. “Material” is not defined and no delegation of authority framework is mentioned, so the boundary is untested. - Moleke is founder, CEO and an 18% shareholder, concentrating influence in one person.	- Delegation appears appropriate in principle but is not evidenced, and an undefined materiality threshold means capital spend could bypass the board. Recommend adopting a written delegation of authority framework with rand approval limits, defining “material capital investment”, and excluding the CEO from his own remuneration decisions.
Maturing the governance as Axion scales	- Risk that governance does not keep pace with a R3–5bn capital programme. - Risk to ethical culture as the founder culture is formalised.	King V — ethical culture as a governance outcome; the governing body governs ethics and sets the tone. King V — the organisation should have the capacity and capability to execute its strategy. Reg 43(5) — the social and ethics committee monitors ethics and corporate citizenship.	- Document 4 records a commitment to “an ethical culture, effective control and transparent reporting” and to “progressively formalising” systems and governance. - Document 3 lists organisational capacity as a stated constraint and MATURE as a strategic priority. Reg 43(5) already obliges the social and ethics committee to monitor ethics, so the mechanism exists and must be used.	- Axion’s governance is formalising but incomplete, and capacity is a stated constraint at the point of greatest demand on the board. Recommend, in order: delegation of authority framework; conflicts and related-party policy and register; committee terms of reference; risk register and combined assurance; internal audit; code of ethics and whistleblowing; and an annual board evaluation.

J. The SAICA Code — Sarah Naidoo CA(SA), and you

King V applies to a director; the SAICA Code applies to a CA(SA). Only a registered member or associate is bound by the Code in full.

Who	Which source applies	What it requires	Application to Axion
Sarah Naidoo CA(SA) CFO	- The SAICA Code in full, as a professional accountant in business — Part 1 and Part 2. King V, as a director.	Fundamental principles (s110): integrity; objectivity; professional competence and due care; confidentiality; professional behaviour. Conceptual framework (s120): identify, evaluate and address threats. Threats (s120.6 A3): self-interest, self-review, advocacy, familiarity, intimidation. s260 — responding to non-compliance with laws and regulations.	- She prepares the information memorandum (Document 4) and the business performance pack (Documents 5 and 7). - If the memorandum overstates board independence, integrity and professional behaviour are threatened, and s29(2) of the Companies Act may be contravened. Self-interest arises if her remuneration is linked to the funding outcome; intimidation if shareholders press for a particular presentation. Section 260 applies if she becomes aware of non-compliance: understand the matter, raise it, escalate to the board, and document.
You newly qualified CA(SA)	The SAICA Code in full, Part 1 and Part 2.	- The same fundamental principles and threats. s260 — NOCLAR. s270 — pressure to breach the fundamental principles.	- You report to the CFO. Section 270 applies if you are pressed to prepare or support a statement you believe to be misleading — you may not allow the pressure to result in a breach. Section 260 applies if the matter amounts to non-compliance: raise it with the CFO, escalate to the board, and document throughout.
The other directors	King V, and the Companies Act. Not the SAICA Code, unless shown to be a member.	The fundamental principles may still be used as standards of conduct — particularly objectivity, integrity and confidentiality.	- Document 4 describes only Naidoo as CA(SA). Do not apply the Code to Van de Wyk, Kahn, September, Mthanda, Moleke or Low. Apply King V, s75 and s76, and use the fundamental principles in support.
KZL Inc external auditor	The SAICA Code Part 4A and the Auditing Profession Act.	- Independence for audit engagements. s540 Long association, and the provisions on a former partner joining an audit client. - Stricter listed-entity requirements if Axion is a public interest entity.	- Axion's audit is compulsory under Reg 28 and its public interest score likely makes it a PIE, so the stricter independence requirements apply. Part 4A is engaged by the Mthanda question in section F, and by any non-assurance services KZL provides.

K. How to answer a governance or ethics required

Based on the structure set out in the IAC 2026 GAA Tutorial solutions.

	Step	What to write
1	Identify the person and the source that binds them	A director → King V. A CA(SA) → the SAICA Code. Everyone → the Companies Act.
2	State the issue, from the scenario	Use the facts given. Name the director, the committee and the shareholding.
3	Give the generic guidance from the standard	What King V or the Code says should happen. For the Code, name the threats and the fundamental principles compromised.
4	Explain why it is an issue for this person	Apply the guidance to the facts. This is where the marks are.
5	Link any breach of the Act back to the Code and to King V	A contravention of the Companies Act by a CA(SA) is a breach of professional behaviour, of integrity if they knew, and of professional competence and due care if they ought to have known.
6	Conclude and recommend	Say what should be done: disclose, recuse, restructure the committee, obtain the document, amend the terms of reference. An analysis without a recommendation is incomplete.

Five errors to avoid.

- **Applying s94 to Axion.** It is a private company; s94 binds public and state-owned companies, or where the MOI requires it.
- **Assuming s75 applies to Van de Wyk automatically.** s75 needs a **personal** financial interest. Establish it. **s76(2)(a)** applies regardless.
- **Treating King V as law.** It is apply and explain, and Document 4 says only that Axion is “informed by” it.
- **Applying the SAICA Code to directors who are not CA(SA).** Only Naidoo is described as one.
- **Missing that the social and ethics committee is compulsory.** The public interest score puts Axion well above the Reg 43 threshold.

L. Information required on the day

Document or fact	Why it is needed
MOI	Whether it requires an audit committee (s94), how directors are appointed (s66(4)), and whether pre-emptive rights are excluded (s39).
Shareholders' agreement	The nomination rights, reserved matters and veto rights, and consistency with the MOI and the Act under s15(7).
Which firm Mthanda was a partner of, and when she left	The whole of section F turns on it. If it was KZL Inc and the cooling-off period has not run, both her independence and KZL's are in question.
Van de Wyk's personal interests	Any interest in Ubuntu, carried interest, or incentive linked to Axion — which decides whether s75 is engaged as well as s76(2)(a).
Committee terms of reference and membership	Only the chairs are named in Document 4. Composition is needed to test Reg 43(4) and to assess independence of each committee.

Document or fact	Why it is needed
Board independence assessment and skills matrix	• To test the claim of “a balance of executive, non-executive and independent directors”.
Directors’ tenure	• Long tenure is an independence indicator, particularly for September and Mthanda.
Conflicts register and s75 disclosures	• To evidence that conflicts are declared and managed.
Delegation of authority framework	• To test the board’s stated retention of oversight over material capital investments.
Whether an internal audit function exists	• Part of the assurance and MATURE analysis.
Third-party liability at year end	• To compute the public interest score precisely rather than on total liabilities.
Directors’ fee approval	• Whether a s66(9) special resolution has been passed in the previous two years.